



सत्यमेव जयते

भारतीय राष्ट्रीय राजमार्ग प्राधिकरण

(सड़क परिवहन और राजमार्ग मंत्रालय, भारत सरकार)

National Highways Authority of India

(Ministry of Road Transport and Highways, Government of India)

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दूरभाष/Phone : 91-11-25074100 / 25074200

Without Prejudice

Order of Debarment



PPPDIV-12018/3/2025-O/o CGM (Tech)/Efile no. 278439

Dated: 30.12.2025

To,

Shri Vishnu Rao E.V.,
Team Leader cum Sr. Highway Engineer,
Sheladia Associates Inc.,
Amsri Classic, Flat No.1,
Door No. 127/4/1, 4th Floor, S.D. Road,
Secunderabad-500003, Telangana, India.

Sub:- Consultancy Services for Authority's Engineer for supervision of Rehabilitation and Up-gradation of 4-laning of Angul - Sambalpur section of NH-42 (Km.112.000 to Km.265.000) in the State of Odisha under NHDP-IV on EPC mode:— **Debarment Order - Reg.**

Ref:-

- 1) AE, M/s Sheladia Associates Inc letter No.01 dt.19.05.2025.(Reply to Show Cause Notice)
- 2) NHAI HQ letter No. 159 dtd.05.05.2025.(Show Cause Notice)
- 3) Consultancy Agreement dated 08.03.2018
- 4) AE, M/s Sheladia Associates Inc letter No.2270 dt.31.01.2025 (1st time for IPC-41).
- 5) AE, M/s Sheladia Associates Inc letter No.2275 dt.06.02.2025 (2nd time for IPC-41).
- 6) AE, M/s Sheladia Associates Inc letter No.2282 dt.11.02.2025 (3rd time for 1PC-41).
- 7) AE, M/s Sheladia Associates Inc letter No.2175 dt. 22.10.2024 (Maintenance Work).
- 8) AE, M/s Sheladia Associates Inc letter No.2269 Date: 22.01.2025(Maintenance Work).
- 9) NHAI HO vide email dated 08.04.2025.
- 10) Ministry's Circular No. RW/NH-33044/7612021-S&R(P&B) dtd. 07.10.2021
- 11) Settlement Agreement dated 25.10.2021

Sir,

This has reference to the Consultancy Agreement dated 08.03.2018 ("**Consultancy Agreement**") between National Highways Authority of India ("**NHAI**" or "**Authority**") and Sheladia Associates Inc. ("**Authority Engineer**") for the Consultancy Services as Authority's Engineer for Supervision of "Rehabilitation and Up-gradation of 4-laning of Angul Sambalpur section of NH-42 (Km.112.000 to Km.265.000) in the State of Odisha under NHDP-IV on EPC mode ("**Project**")". The EPC Agreement for the execution of the Project was executed between NHAI and Gayatri PTPS (JV) ("**Contractor**") on 04.01.2017 ("**EPC Contract**"). The Contractor had engaged M/s Agarwal Infrabuild Private Ltd. ("**Sub-Contractor**") vide Sub-Contract Agreement dtd. 18.06.2022 ("**Sub-Contract Agreement**") for execution of balance works and the Change of Scope works as approved by the Authority.

2. During the currency of the EPC Contract, the Authority Engineer was found to have committed serious lapses pertaining to on two major counts. Firstly, wrongful recommendation of payment of IPC-41 in favor of Sub-Contractor/Contractor for an amount of Rs. 78,98,15,020/- withheld by the Authority on account of pending/balance crack

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[Signature]

rectification works (approx. 2km), pending miscellaneous items in structures such as drainage, protection works, return walls etc., outstanding works in Toll Plaza including provisions of RPV, Ambulance and Crane. Secondly, the Authority Engineer was also held liable for wrongful recommendation of Maintenance and Repair Works cost estimate for an amount of Rs.7.31 Cr vide its letter dated 22.10.2024 (ref. at S. No. 5) at risk and cost of the Contractor with higher specifications like BC, DBM etc. instead of SDBC, Patch Repairs, etc., which would have served the purpose of the Project. The recommendation of the Authority evidently is an inflated estimation of the work which has been made in complete ignorance of the fact that entire obligation of maintenance was of the Contractor in terms with Clause 10.2 of the EPC Contract. Thus, the recommendation was evidently excessive, unjustified, and in disregard of the contractual framework governing the Project.

3. The above defaults constitutes breach and non-fulfillment of Contractual Obligations under Clause 3.1.1 (Standard of Performance) of the General Conditions of the Contract ("GC") of Consultancy Agreement, Clause 7.1 (Fairness and Good Faith), Clause 10 in Appendix A (Description of the Services) - Performance Clause, Terms of Reference (ToR) - 7 Payments and Clause 19.5 - Stage Payment for works in EPC Contract Agreement which are reproduced below:

As per Clause 3.1.1 - Standard of Performance:

"The Consultants shall perform the Services and carry out their obligations hereunder with all due diligence, efficiency and economy, in accordance with generally accepted professional techniques and practices, and shall observe sound management practices, and employ appropriate advance technology and safe and effective equipment, machinery, materials and methods. The Consultants shall always act, in respect of any matter relating to the Contract or to the Services, as faithful advisers to the Client, and shall at all times support and safeguard the Client's legitimate interest in any dealing with Sub-consultants or Third Parties."

As per Clause 7.1 - Fairness and Good Faith:

"The Parties undertake to act in good faith with respect to each other's rights under this Contract and to adopt all reasonable measures to ensure the realization of the objectives of this Contract".

As per Clause 10 in Appendix A (Description of the Services) - Performance Clause:

Authority's Engineers shall be expected to fully comply with all the provisions of the Terms of Reference; and shall be fully responsible for supervising the Designs, Construction and maintenance and operation of the facility takes place in accordance with the provisions of the EPC Agreement and other schedules. Any failure of the Authority Engineer in notifying to Employer and the Contractor on non-compliance of the provisions of the EPC Contract Agreement and other schedules by the EPC Contractor, non-adherence to the provision of ToR and non-adherence to the time schedule prescribed under ToR shall amount to non-performance".

Clause 7 of Terms of Reference (ToR) (Payments)

7.1 *"The Authority's Engineer shall withhold payments for the affected works for which the Contractor fails to revise and resubmit the Drawings to the Authority's Engineer in accordance with the provision of Clause 10.2.4 (d) of Model EPC Agreement."*

7.2 Authority's Engineer shall

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a) "within 10 (ten) days of receipt of the Stage Payment Statement from the Contractor pursuant to Clause 19.4, determine the amount due to the Contractor and recommend the release of 90 (ninety) percent of the amount so determined as part payment, pending issue of the Interim Payment Certificate; and"

b) "within 15 (fifteen) days of the receipt of the Stage Payment Statement referred to in Clause 19.4, deliver to the Authority and the Contractor an interim Payment Certificate certifying the amount due and payable to the Contractor, after adjustments in accordance with the provisions of Clause 19.10 of Model EPC Agreement".

7.3 "The Authority's Engineer shall, within 15 (fifteen) days of receipt of the Monthly Maintenance Statement from the Contractor pursuant to Clause 19.6 of Model EPC Agreement, verify the Contractor's monthly statement and certify the amount to be paid to the Contractor in accordance with the provisions of the Agreement".

7.4 "The Authority's Engineer shall certify final payment with 30 (thirty) days of the receipt of the final payment statement of Maintenance in accordance with the provisions of Clause 19.16 of Model EPC Agreement."

EPC Contract

Clause 19.5 - Stage Payment for Works

19.5.4 "The Authority's Engineer may, for reasons to be recorded, withhold from payment:

(a) The estimate value of work or obligation that the Contractor has failed to perform in accordance with this Agreement and the Authority's Engineer had notified the Contractor; and :

(b) The estimate cost of rectification of work done being not in accordance with this Agreement"

4. In view of the above facts and circumstances and further direction of the Competent Authority, a show cause notice was served to your office vide NHAI HQ letter No. 59 dtd. 05.05.2025 ("Show Cause Notice") in terms of NHAI Policy Circular No. 16.12/2022 dated 18.01.2022 and Consultancy Agreement.

5. In response to the Show Cause Notice your office vide letter No.1 dated 19.05.2025 had submitted the reply with the Authority which was deliberated in detail and observed as under:

Contentions of Authority Engineer	Observations of Authority
The Team Leader and staff is not authorized person for matters related to Claims and Settlements. Therefore, the letter Ref. 2175 dated 22.10.2024 and subsequent letter Ref. 2269 dated 22.01.2025 should not be taken into consensus. SHELADIA would be initiating administrative action against the. Key Personnel to ensure no such repetition is taken in future. It is further submitted that the deficiencies found were "Cured" by the instance of revised IPC recommendations vide letter no. 2282 dated 11.02.2025 and joint meeting and site visit held on 21 & 22 March, 2025 which were	The Team Leader cum Sr. Highway Engineer, Resident Engineer and Assistant Highway Engineer of Authority engineer is admittedly at fault on wrongly recommending (vide letter dated 31.01.2025 & 06.02.2025) the extra payment (Rs. 78.98 Cr. against 58.01 cr.) to Field units on the bill (IPC-41) raised by the Contractor. Further, the same has been reviewed/ rectified by AE and on the after the joint meeting with field units and the Authority Engineer vide its letter dated 11.02.2025. It is noteworthy that such rectification does not absolve the concerned officials of liability for their actions.

accepted by the Contractor, Authority Engineer & Authority	As the issue of payment has been resolved in the joint meeting leading to recommending the actual Payable amount of Rs. 58.01 Cr. Further, as per submission of AE, action is proposed against the Team Leader cum Sr. Highway Engineer, Resident Engineer of Authority and The Team Leader cum Sr. Highway Engineer, Resident Engineer and Assistant Highway Engineer to ensure no such repetition is taken in future. Further warning has been proposed to Authority Engineer.
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6. Further, based on the request of your office, a personal hearing on the subject matter under Member (T) was held on 05.06.2025. Later, another personal hearing was carried out under Member (T) with all concerned stakeholders on 17.07.2025. The Authority after considering all the contentions made by the AE arrived at the following conclusion:

a) It was also apprised by AE that Mr. G. Murali Krishna, Director, M/s SHELADIA Associates Inc, was the Authorized representative of the AE for signing the contractual documents of the subject project. Further, as per requirement of provision of Schedule-N of EPC agreement, the Team Leader cum Senior Highway Engineer Mr. Vishnu E.V. Rao was signing all the bills and submitting the regular periodic/ monthly reports. Thus, the cum Team Leader Senior Highway Engineer should be debarred for 1 year.

b) In addition to the Team Leader cum Senior Highway Engineer, Mr. Vishnu E.V. Rao, the other key personnel involved in certifying IPC: 41 are Resident Engineer, Shri V. Nageswara Rao and Assistant Highway Engineer, Shri Surendra Roul may also be held equally responsible. Thus, similar action of 1 year debarment may be proposed against them. Additionally, the consultancy firm is to be issued a warning and advised to exercise future greater vigilance in all assignments.

7. Based on the explanation furnished by the Authority Engineer in writing and during the personal hearings, it is very much clear that **Shri Vishnu Rao E.V., Team Leader cum Senior Highway Engineer**, failed to act responsibly and wrongfully ascertained the pending / balance works at the site and recommended IPC-41 and the repair/ maintenance works cost estimate without considering the actual site conditions of the Project. The aforementioned dereliction of obligations, serious lapses committed in recommending excess / over payment of Sub-Contractor, erroneous certification of payment / cost and time claims of Sub-Contractor against Authority, sub-standard / poor performance and contractually inadmissible services by key personnel of AE are apparently having a material adverse effect on the project implementation in terms of cost and time.

8. In view of the above mentioned facts and circumstances, **Shri Vishnu Rao E.V.**, is hereby debarred from participating in any projects in NHAI/ NHIDCL/ NH and all Divisions/ Units of MoRT&H for a period of 12 months commencing from 30.12.2025 till the end of 30.12.2026 (inclusive of both the days) for gross negligence in execution of the Project Highway as detailed herein above. Brief of Key Professional is as under:

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Name of Key Personnel	Date of Birth	PAN	Infracon / Email ID	Mobile No.
Vishnu Rao E.V.	15.06.1962	ACHPV4743J	vishnurao.ev@gmail.com	9618788852

9. The instant debarment order is being issued without prejudice to Authority's other rights / remedies available now or in future under the Agreement and /or the applicable laws of India. By issuance of this notice, NHAI should not be deemed to have varied, waived, surrendered or abrogated any of its legal and contractual rights in any manner whatsoever.

This Notice is issued with the approval of Competent Authority of NHAI.

Yours Sincerely,



30/12/25

(Ashvini Rai)
GM (T) Odisha

Copy to: - (i) RO Odisha
(ii) PD- PIU Sambalpur